

THE NEW TAX SLABS AND RATES

• The 30% tax rate threshold is now up to ₹24 lakh from ₹15 lakh—a 60% adjustment • Basic exemption limit has increased to ₹4 lakh from ₹3 lakh; it remains ₹2.5 lakh under the old regime

New Tax Regime: A Shifting Landscape							
Income Slab for FY23 (₹)	Tax Rate	Income Slab for FY24 (₹)	Tax Rate	Income Slab for FY25 (₹)	Tax Rate	Income Slab for FY26 (₹)	Tax Rate
0-2.5 lakh	Nil	0-3 lakh	Nil	0-3 lakh	Nil	4 lakh	Nil
2.5-5 lakh	5%	3-6 lakh	5%	3-7 lakh	5%	4-8 lakh	5%
5-7.5 lakh	10%	6-9 lakh	10%	7-10 lakh	10%	8-12 lakh	10%
7.5-10 lakh	15%	9-12 lakh	15%	10-12 lakh	15%	12-16 lakh	15%
10-12.5 lakh	20%	12-15 lakh	20%	12-15 lakh	20%	16-20	20%
12.5-15 lakh	25%	Above 15 lakh	30%	Above 15 lakh	30%	20-24 lakh	25%
Above 15 lakh	30%			-	-	Above 24 lakh	30%

SOURCE NANGIA ANDERSEN

₹16 lakh can save ₹50,000.

“For higher earners, the tax relief translates into an additional ₹10,400 per month in disposable income. The updated tax structure also accounts for inflation, pushing the 30% tax rate threshold from ₹15 lakh to ₹24 lakh—a 60% adjustment,” says Adhil Shetty, CEO of BankBazaar, an online marketplace for financial services.

“Under the new regime, someone earning ₹25 lakh annually will pay ₹3.43 lakh in total tax, compared to ₹4.57 lakh under the 2024 regime,” adds Shetty.

FINE PRINT

If you're a resident individual, you wouldn't have to pay tax on your regular income as long as it doesn't exceed ₹12 lakh. For salaried individuals, the threshold increases to ₹12.75 lakh due to the standard deduction benefit.

But does income up to ₹12 lakh become tax-free for everyone? Not quite. “Non-resident individuals, as well as resident HUFs, AOPs, or BOIs, are not eligible for the Section 87A

rebate and will be taxed according to the slab rates on income exceeding ₹4 lakh,” said Balwant Jain, a Mumbai-based tax and investment expert.

HUFs is short for Hindu Undivided Families, AOPs for Association of Persons, such as a limited liability partnership, and BOIs for Body of Individuals, who band together for earning income.

And income subjected to special tax rates, such as long-term capital gains, short-term capital gain and cryptocurrencies, will still be taxable. For example, if your entire income consists of ₹5 lakh in long-

term capital gains, you'll still need to pay tax on ₹1 lakh at a 12.5% rate, despite your income being below ₹12 lakh under the NTR, explained Jain.

57

TDS, TCS THRESHOLDS

Along with changes to tax slabs, the Budget also increased thresholds for Tax Deducted at Source (TDS) and Tax Collected at Source (TCS). The exemption limit for TDS on interest income for senior citizens has doubled from ₹50,000 to ₹1 lakh, offering more liquidity to the elderly whose primary income is from bank interest.

Additionally, the TCS threshold



“For higher income earners, the tax relief translates into an additional ₹10,400 per month in disposable income”

ADHIL SHETTY
CEO, BANKBAZAAR